THE MASTERMIND COACHING CLASSES

CBSE / RBSE • NURSERY – CLASS XII • JAIPUR

Road No. 5, VKIA, Jaipur — 9887258679

CLASS 10 — SOCIAL SCIENCE · HARD LEVEL CHAPTER TEST SET 1

Chapter 19: **Money and Credit (Economics)** | RBSE Pattern | Session 2026–27

Time: 1 Hour 30 Minutes Name: _____ Roll No.: _____ **Maximum Marks: 40**

General Instructions:

1. All questions are compulsory.
2. Q. 1–10 are Objective Type (1 mark each).
3. Q. 11–14 are Very Short Answer Type (2 marks each).
4. Q. 15–18 are Short Answer Type (3 marks each).
5. Q. 19–20 are Long Answer Type (5 marks each).
6. Internal choice is given in Q. 17 to 20.
7. Write the question number before each answer.
8. Hard level: application and higher-order questions.

SECTION — A (Objective Type Questions) 10 × 1 = 10

Choose the correct option and write it in your answer book.

1. What is the effect of higher interest rates on borrowing for investment? 1

(a) borrowing becomes costlier and may fall **(b)** no effect
(c) borrowing becomes free **(d)** borrowing becomes cheaper

2. Assertion (A): Self-Help Groups help the poor. Reason (R): Members save regularly and can borrow from the pooled savings at reasonable interest. 1

(a) Both A and R are true and R is the correct explanation of A.
(b) Both A and R are true but R is not the correct explanation of A.
(c) A is true but R is false.
(d) A is false but R is true.

3. Assertion (A): Banks earn a profit. Reason (R): The interest they pay on deposits is more than the interest they charge on loans. 1

(a) Both A and R are true and R is the correct explanation of A.
(b) Both A and R are true but R is not the correct explanation of A.
(c) A is true but R is false.
(d) A is false but R is true.

4. Assertion (A): Formal credit is cheaper than informal credit. Reason (R): RBI supervises formal sources. 1

(a) Both A and R are true and R is the correct explanation of A.
(b) Both A and R are true but R is not the correct explanation of A.
(c) A is true but R is false.
(d) A is false but R is true.

5. Consider: (i) Currency notes are issued by the RBI; (ii) Demand deposits can be used with cheques; (iii) Collateral is the interest paid. Which are correct? 1

(a) all three **(b)** (ii) and (iii) only
(c) (i) and (ii) only **(d)** (i) and (iii) only

6. Assertion (A): Credit always makes the borrower better off. Reason (R): Credit can lead to a debt trap. 1

(a) Both A and R are true and R is the correct explanation of A.
(b) Both A and R are true but R is not the correct explanation of A.
(c) A is true but R is false.
(d) A is false but R is true.

7. A government makes banks open branches in villages. This will most likely: 1

(a) increase formal credit for the poor **(b)** end barter
(c) reduce savings **(d)** increase moneylenders

8. Assertion (A): Banks keep all deposits as cash. Reason (R): Banks must meet daily withdrawals. 1

(a) Both A and R are true and R is the correct explanation of A.
(b) Both A and R are true but R is not the correct explanation of A.
(c) A is true but R is false.
(d) A is false but R is true.

9. **Assertion (A):** Money eliminates the need for a double coincidence of wants. 1
Reason (R): Money acts as a medium of exchange, so a seller need only find a buyer and can then use the money to buy what he wants.
Choose the correct option:
(a) Both A and R are true and R is the correct explanation of A.
(b) Both A and R are true but R is not the correct explanation of A.
(c) A is true but R is false.
(d) A is false but R is true.

10. **Assertion (A):** Only the Reserve Bank of India issues currency notes in India. 1
Reason (R): The Reserve Bank of India supervises the loan activities of banks and cooperatives.
Choose the correct option:
(a) Both A and R are true and R is the correct explanation of A.
(b) Both A and R are true but R is not the correct explanation of A.
(c) A is true but R is false.
(d) A is false but R is true.

SECTION — B (Very Short Answer Type) — 4 × 2 = 8

Answer in about 20–30 words each.

11. Why is a debt trap more common with informal credit? 2

12. How do SHGs differ from banks? 2

13. Why is lending the main business of banks? 2

14. What would be the effect of too high interest on borrowers? 2

SECTION — C (Short Answer Type) — 4 × 3 = 12

Answer in about 40–60 words each.

15. Why do SHG members repay regularly? 3

16. Why is formal credit still limited in rural India? 3

17. Why is credit important for small industries? 3

OR

How are SHGs better for poor women than moneylenders? 3

18. Assess the advantages of formal credit. 3

OR

Analyse why the lender asks for collateral and the problem it creates for the poor. 3

SECTION — D (Long Answer Type) — 2 × 5 = 10

Answer in about 100–150 words each.

19. **Case study.** Ramesh, a shoe maker, wants to buy wheat. The farmer who grows wheat does not want shoes; he wants to buy clothes. Ramesh sells his shoes to a shopkeeper for rupees, and then buys wheat with the money from the farmer. A cheque is used when he pays the leather supplier, who deposits it in his own bank account. 5
(i) What is the difficulty Ramesh would face in a barter system called?
(ii) Who issues currency notes in India?
(iii) What is a cheque?
(iv) Why are demand deposits accepted as money even though they are not currency?

20. How do Self-Help Groups and Grameen Bank-type models help the poor? 5

OR

Analyse the difference between formal and informal credit and the need for increasing formal credit. 5

END OF QUESTION PAPER — Total: 40 Marks